

Tribhuvan University
Faculty of Humanities & Social Sciences
OFFICE OF THE DEAN

2024

Bachelor in Computer Applications

Course Title: **Applied Economics**

Code No: Semester: **VI**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Note: Group A (Multiple Choice Questions) is not available from the source. The paper begins with Group B.

Group B

2. Briefly explain the goals of macroeconomics.
3. Explain through a figure how a consumer is in equilibrium under the ordinal utility (indifference curve) analysis.
4. With the help of the following information on output (Q), short-run total fixed cost (TFC), and short-run total variable cost (TVC), compute short-run:(i) total cost (TC)(ii) average fixed cost (AFC)(iii) average variable cost (AVC)(iv) average cost (AC)and (v) marginal cost (MC):

Q (in units)	1	2	3	4	5	6	7	8	9	10	11	12
TFC (Rs.)	120	120	120	120	120	120	120	120	120	120	120	120
TVC (Rs.)	60	80	90	110	150	240						
5. If the quantity supply of a commodity x (Q_x) rises from 400 units to 1200 units as its price (P_x) rises from Rs. 200 per unit to Rs. 400 per unit, then(i) compute the price elasticity of supply (e_s)(ii) interpret this result.
6. Derive a short-run supply curve of a firm under the market of perfect competition.
7. Briefly explain the concepts and types of balance of trade and balance of payment.
8. Using the marginal cost-and-marginal revenue (MC-MR) approach and an appropriate figure, explain how the monopolist reaches a short-run equilibrium.

Group C

Attempt any TWO questions[2x10=20]

9. From the table given below, (i) compute the income elasticity of demand (EQM) for a commodity x for the movement from points A to B, B to C, C to D, D to E, and E to F; and (ii) also state the nature of this commodity x based on the values and signs taken by this ey at different levels of income.

Point	Income (Rs.)	Quantity of x (Q _x)
A	350	10
B	400	15
C	500	20
D	600	25
E	700	30
F	800	35
10. From the following data in Table 2, compute these four concepts of national income by using the Expenditure Method:(a) GDP, (b) GNP, (c) NNP, and (d) NNP (= NI)

Components	Rs. (in billion)
C	350
I	130
G	60
X - M	10

Note: C = Private Consumption Expenditure; I = Private Investment Expenditure; G = Government Expenditure; X - M = Net Exports; X = Exports; M = Imports

Imports; N = Net Factor Income from Abroad; D = Depreciation; T = Net Indirect Tax = Indirect Tax - Subsidies; GDP = Gross Domestic Product at Market Price; GNP = Gross National Product at Market Price; NNP = Net National Product at Market Price; NNP = Net National Product at Factor Cost; NI = National Income

- 11.** Explain how a monopolist is in equilibrium in the long run with appropriate diagram.